

P220/1

ECONOMICS

Paper 1

July/August 2025

3 HOURS

**KING SOLOMON'S COLLEGE
KYATEGA**

"Give Education a Chance"

**UGANDA ADVANCED CERTIFICATE
OF EDUCATION**

ECONOMICS

END OF TERM II EXAMINATIONS

TIME: 3 Hours

INSTRUCTIONS TO LEARNERS:

-Attempt any Five (05) Items

*-All **items** carry **equal** scores.*

*-Credit will be awarded for use of relevant **examples and diagrams***

*-Any **additional item** (s) will not be scored.*

Turn Over

ITEM 1: Due to a recent increase in the price of Rice, many Ugandan households are reducing their consumption of rice meals and turning to macron and other alternative staples like cassava, matooke and sweet potatoes. A market survey shows that the price of Rice increased from UGX 1,000 per kg to UGX 1,200 per kg, that resulted into a fall in quantity demanded of rice from 800 kg to 700 kg in week.

Task: (a). Compute and interpret the price elasticity of demand demonstrated in the item above. **(04 scores)**

(b). Explain the factors that lead to the nature of the price elasticity of demand in **(a)** above. **(16 scores)**

ITEM 2: Mr Rwaasa owns a large retail company called Rwaasa Retail Max. Rwaasa's retail company acquires a smaller retail chain (fashion forward) to expand its market share and product offerings. Meanwhile Rwaasa's retail company also buys a company that supplies raw materials to its manufacturing partners. **(Material source)**

Task: (a). What type of business combinations are represented by Rwaasa's retail company acquisition of fashion forward and material source? **(04 scores)**

(b). What are the rationales of Rwaasa's retail company acquisition of fashion forward and material source? **(16 scores)**

ITEM 3: The government of Uganda through the office of the Prime Minister is funding the Parish Development Model project alongside other youth skilling projects in different parts of the country. This is enabling different people to start up and expand their income generating projects like piggery, goat rearing, commercial agriculture among others. This is in turn increasing the volume of goods and services produced in the country and is generally improving the economic performance of the country. However, as these projects grow, they raise concerns among natives as some individuals feel it will improve on their well being while others look at it as a threat to the future generation. Your community through the LC I Chairperson has approached you for advice.

Task: (a). Help them to identify and define the above economic situation.

(04 scores)

(b). Analyse the effects of the above mentioned economic situation to the wellbeing of the people and the country. **(16 scores)**

ITEM 4: Over the past few weeks, Mr Okello a senior citizen based in Soroti has seen numerous advertisements on radio and local notice boards promoting job opportunities abroad, particularly in countries like Dubai and Saudi Arabia, targeting individuals of the working age group with various skills. At the same time, he has observed a growing number of the youths from rural villages in Soroti and Lira, relocating to towns like Mbale and Kampala. These young individuals are seeking work in shops, markets, and small businesses, contributing to a noticeable change in the local population. This dual trend—people heading overseas and others foregoing jobs for others has left Mr. Okello puzzled about what is driving these movements, he has reached out to you as a S5 student.

Task: (a). Explain to Mr Okello, the causes of these worker movements.**(08 scores)**

(b). Analyse the implications of these movements to the economic development of an economy. **(12 scores)**

ITEM 5: James, a trader at Nakasero Market, has been selling Matooke at UGX 20,000 per bunch for the past year, consistently selling 500 bunches each week. For the last three weeks, He noticed his weekly sales have increased to 700 bunches at the same price. He is surprised about this unusual trend, James wonders why he is selling more bunches of Matooke without any variation in his price and he seeks for your advice, as an economics student.

Task: (a). Identify, define and illustrate the above economic situation. **(06 scores)**

(b). Advise James on the possible factors responsible for such an economic situation. **(14 scores)**

ITEM 6: Sarah a promising entrepreneur and a resident of Kyatega, has become concerned about her neighbor John, who runs a small maize flour mill. John's mill is a simple operation, using a single manual grinder and supported by a small team of family members. He processes maize into flour for the local community, often delivering it to villagers on foot or by bicycle. Despite its subsistence production, John's mill continues to operate successfully, even with the presence of AgroMega, a large maize processing company located just in Kyegegwa town. AgroMega has a large facility equipped with modern machinery, employs many workers, processing large amounts of maize from across the region and supplying supermarkets and wholesalers far beyond the region on a daily basis which Sarah believes gives it a strong advantage over John's mill.

Task: (a) As a S5 student use the scenario above to explain to Sarah the reasons why John's small maize flour mill continues to survive alongside the large AgroMega company in the area. **(10 scores)**

(b). Describe the factors that limit the expansion of John's maize mill. **(10 scores)**

END